

Purpose

The purpose of this quick reference guide is to step through the process of creating Deduction Pay Codes. The intended audience for this document are system administrators / standard users.

Steps

Create a Deduction Pay Code record

Pay Codes are applied to Pay Transactions, Payee Deduction Records and Purchase Leave Rules processed for an Employee.

The Deduction Pay Code record is used to define Pay Codes used for Deductions made for a Payee. The record holds General Information and Pay Code Setup details.

Create a new Deduction Pay Code record by following the below steps:

1. Click on the **App Launcher** icon (see Figure 1).
2. Go to the **Pay Codes** object by using the Search function (see Figure 2).

Figure 1

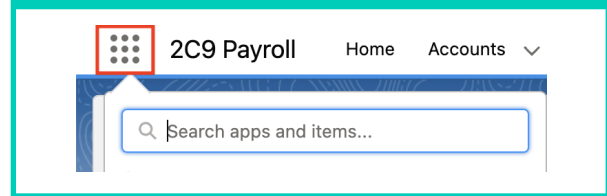
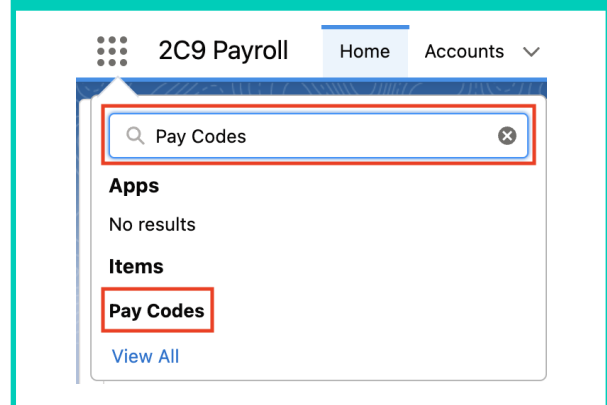
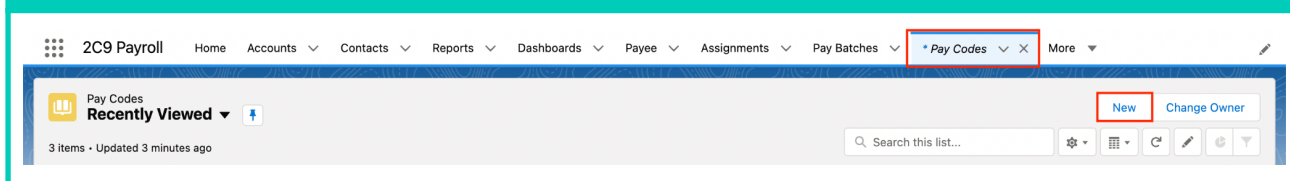


Figure 2



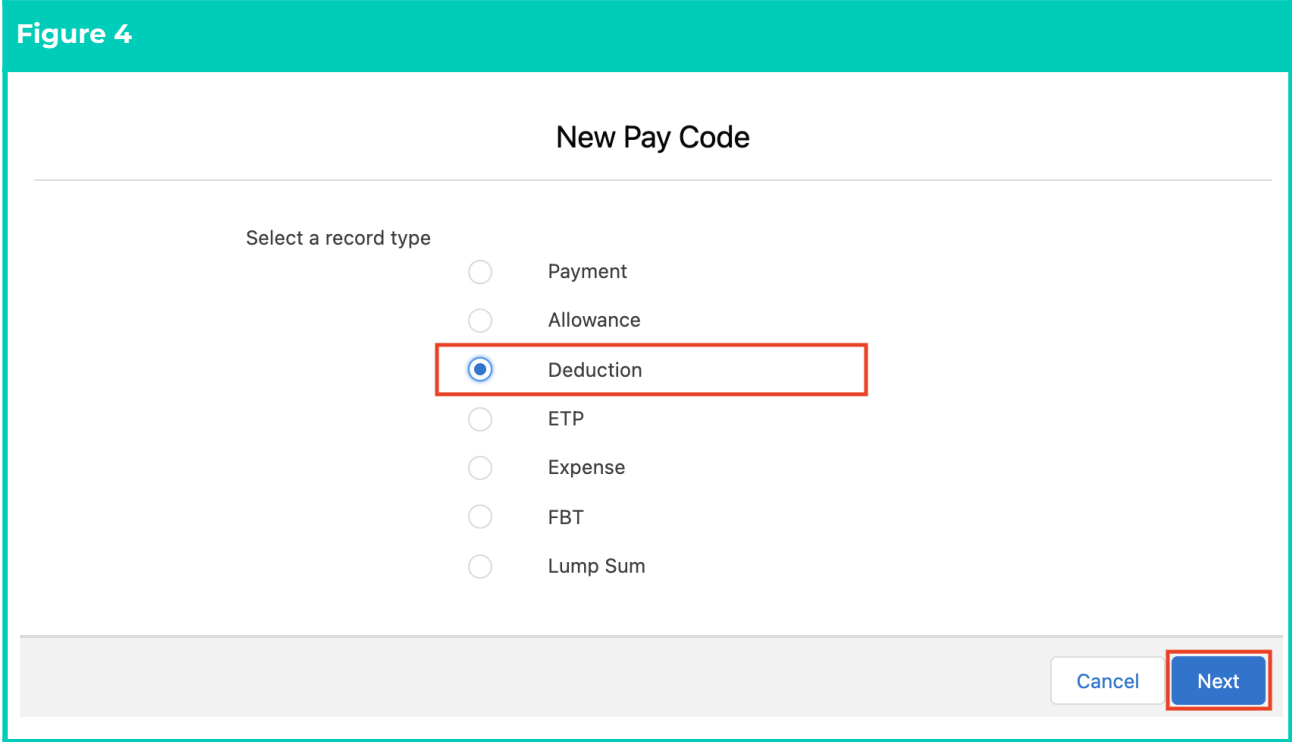
3. Click on the **New** button (see Figure 3).

Figure 3



4. Choose the record type of **Deduction** and click **Next** (see Figure 4).

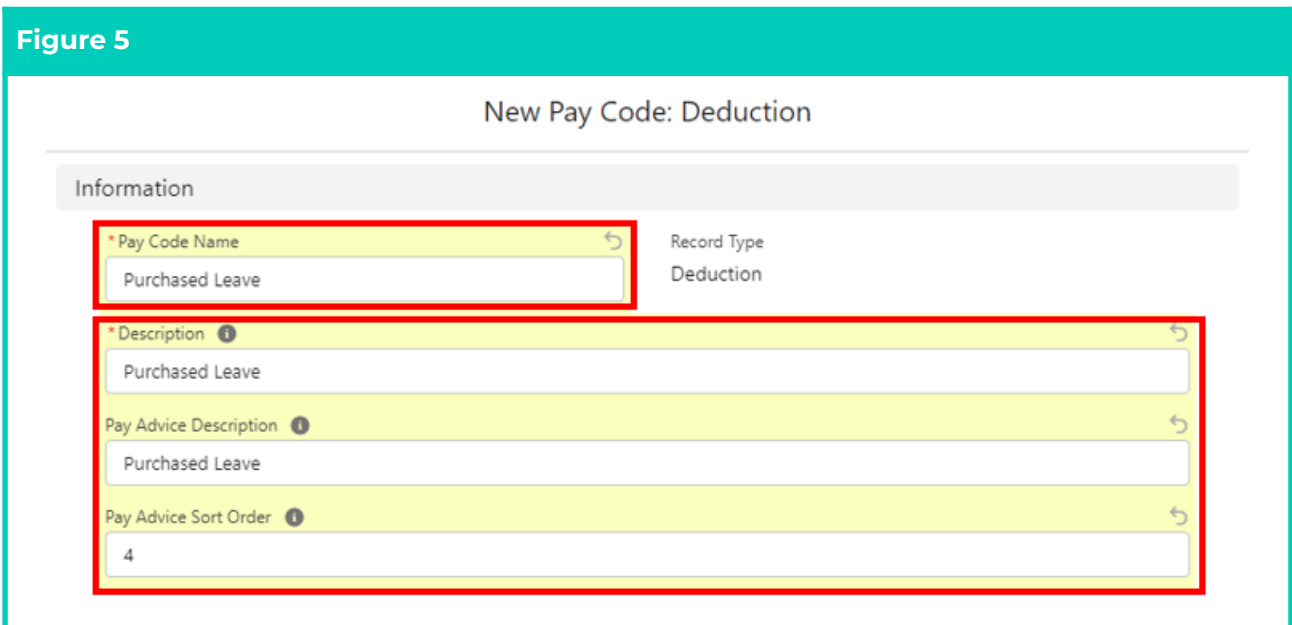
Figure 4



The screenshot shows a form titled "New Pay Code". Under the heading "Select a record type", there are seven radio button options: Payment, Allowance, Deduction, ETP, Expense, FBT, and Lump Sum. The "Deduction" option is selected and highlighted with a red rectangular box. At the bottom right of the form, there are two buttons: "Cancel" and "Next". The "Next" button is also highlighted with a red rectangular box.

5. Follow this step in the sequence given below:
 - a. To create a Deduction Pay Code, populate the following required fields to provide the base details of the Deduction Pay Code (see Figure 5):
 - i. **Pay Code Name**
 - ii. **Description**
 - iii. **Pay Advice Description**
 - iv. **Pay Advice Sort Order**

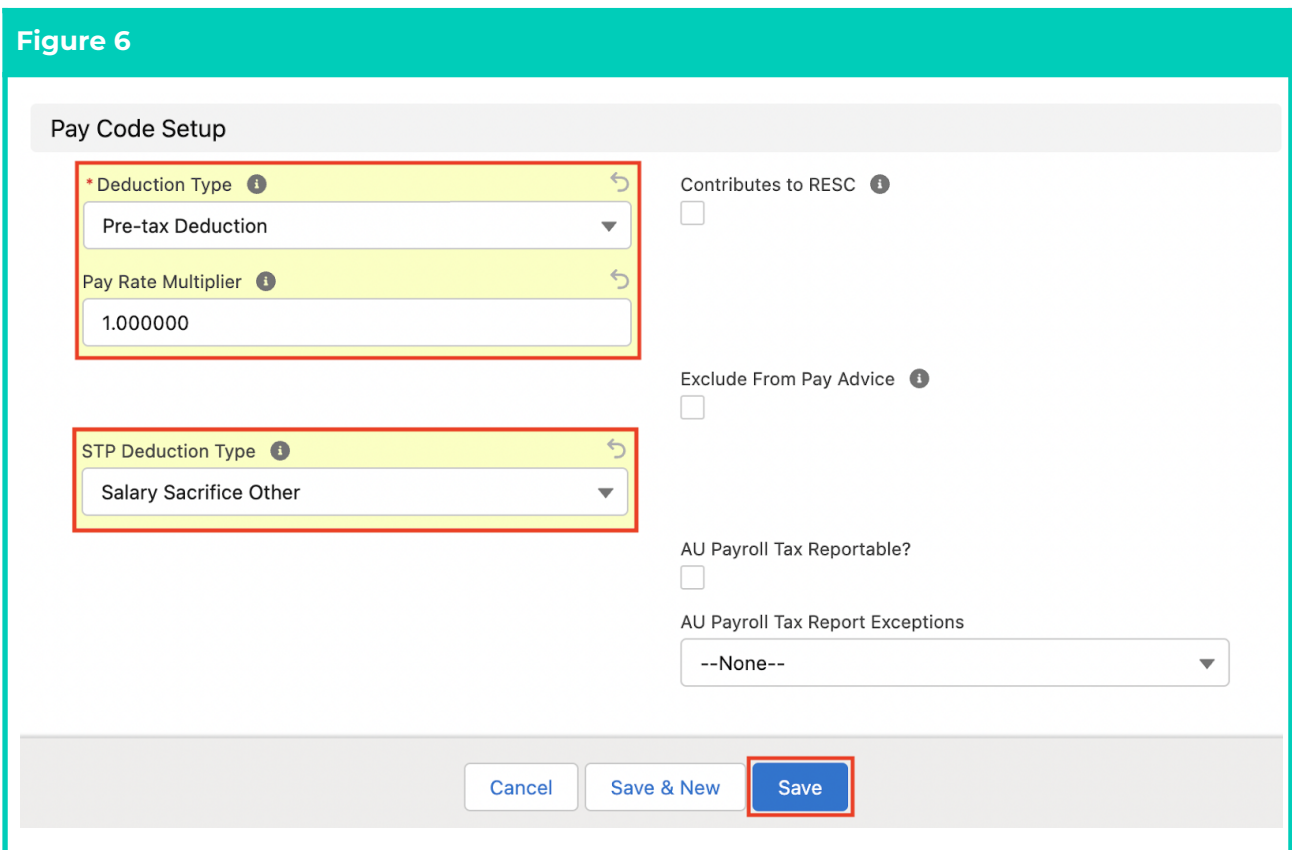
Figure 5



The screenshot shows a form titled "New Pay Code: Deduction". Under the "Information" section, there are four input fields, each with a red asterisk indicating it is required. These fields are: "Pay Code Name" (containing "Purchased Leave"), "Description" (containing "Purchased Leave"), "Pay Advice Description" (containing "Purchased Leave"), and "Pay Advice Sort Order" (containing "4"). Each of these four fields is highlighted with a red rectangular box. To the right of these fields, the "Record Type" is displayed as "Deduction".

- b. To create a Deduction Pay Code, populate the following required fields to provide the base details of the Deduction Pay Code (see Figure 6):
 - i. **Deduction Type**
 - ii. **Pay Rate Multiplier**
 - iii. **STP Deduction Type**
 - c. Populate the following optional fields as required (see Figure 6):
 - i. If the Pay Code contributes to RESC, tick the **Contributes to RESC** checkbox.
 - ii. To exclude any transactions related to this Pay Code from the standard Pay Advice PDF, check the **Exclude From Pay Advice** checkbox.
 - iii. If Payroll Tax needs to be reported for Pay Transactions using this Pay Code, check the **AU Payroll Tax Reportable?** checkbox.
 - iv. To apply regional Payroll Tax exemptions for Pay Transactions using this Pay Code, select from the picklist values provided in the **AU Payroll Tax Report Exemptions** field.
6. Click on the **Save** button.

Figure 6



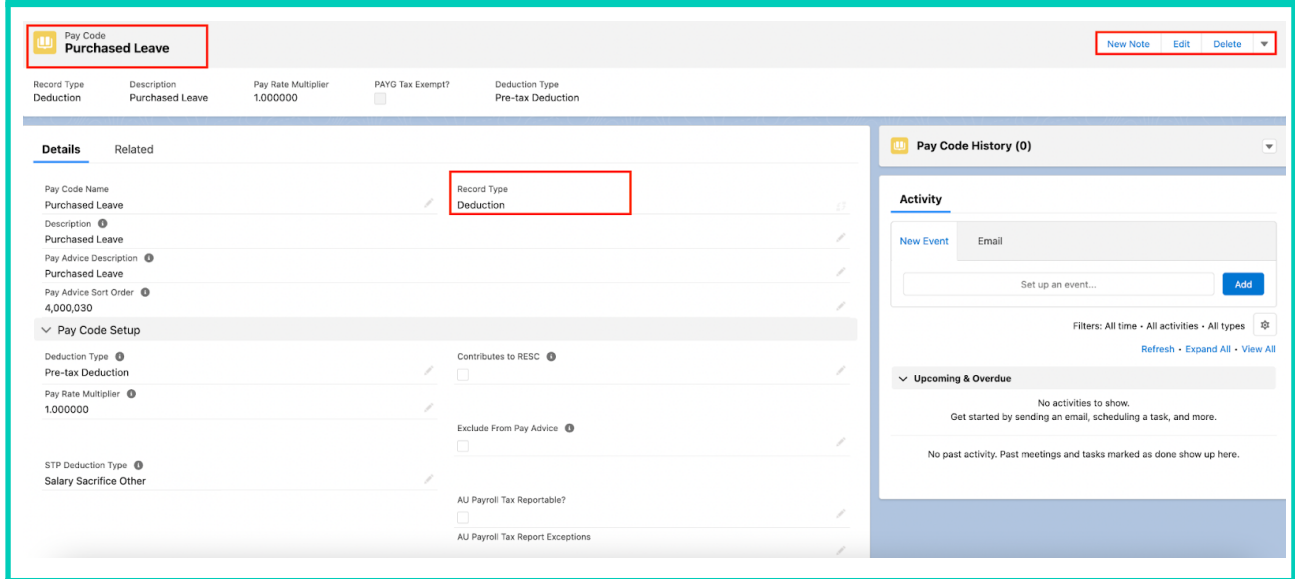
The screenshot shows the 'Pay Code Setup' form. On the left, three fields are highlighted with red boxes: 'Deduction Type' (set to 'Pre-tax Deduction'), 'Pay Rate Multiplier' (set to '1.000000'), and 'STP Deduction Type' (set to 'Salary Sacrifice Other'). On the right, there are four optional fields: 'Contributes to RESC' (checkbox), 'Exclude From Pay Advice' (checkbox), 'AU Payroll Tax Reportable?' (checkbox), and 'AU Payroll Tax Report Exemptions' (dropdown menu set to '--None--'). At the bottom, there are three buttons: 'Cancel', 'Save & New', and 'Save' (highlighted with a red box).



The Pay Rate Multiplier field is applied to the Pay Rate on the Assignment Rate Record, to determine the Pay Rate for the related Pay Transactions.

A new **Deduction Pay Code** record has been created (see Figure 7).

Figure 7




Deduction Pay Code records CAN NOT be deleted if they have related records or are used in other records. Deleting records is not recommended unless absolutely essential.



A Pay Code can only be edited if it has not already been referenced within Pay Transactions, Interpretation Rules or Payee Allowance records. A new Pay Code will need to be created if updates are required after this point.

7. To modify an existing **Deduction Pay Code** record, open the required record and select the **Edit** button available on the top right side of the page. You can also double click in any of the fields that need editing or just click on the pencil icon  that appears within fields when you move your cursor over the field.
8. When complete, click on the **Save** button.

Field Descriptions

AU Payroll Tax Reportable? determines if the Pay Code will be considered during 2cloudnine Payroll Tax reporting processing.

AU Payroll Tax Report Exceptions where a Pay Code is reportable for Payroll Tax, list any localities here where the Pay Code is considered not reportable.

Contributes to RESC indicates if the Pay Code Contributes to RESC.

Deduction Type indicates whether Pay Transactions created using this Pay Code will be calculated as Pre-tax Deductions or Post-tax Deductions

Description is the user friendly description of this Pay Code.

Exclude From Pay Advice indicates that any transactions related to this Pay Code will not be displayed on the standard Pay Advice PDF.

Pay Advice Description is the description that will be displayed to a Payee on their Pay Advice PDFs for any Pay Transactions related to this Pay Code.

Pay Advice Sort Order defines the order in which Pay Transactions referencing this Pay Code will be displayed on Pay Advice PDFs.

Pay Code Name is the name given to the Pay Code record that is being created.

Pay Rate Multiplier is the multiplier which will be applied to Pay Transactions using this Pay Code.

STP Deduction Type defines how this Deduction Pay Code will be reported in STP2.

Further Information

Document	Document Type	Description
Create Pay Codes - Expense Pay Codes	Task Instructions	How to create Expense Pay Codes
Create Pay Codes - ETP Pay Codes	Task Instructions	How to create ETP Pay Codes
Create Pay Codes - Lump Sum Pay Codes	Task Instructions	How to create Lump Sum Pay Codes
Create Pay Codes - Payment Pay Codes	Task Instructions	How to create Payment Pay Codes